

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)

 Sales 866,750 -57% Last month 2,012,136	 Gross Margin 866,750 -57% Last month 2,012,136
 Operating Profit 132,244 -94% Last month 2,332,623	 Break Even Sales 734,506 329% Last month -320,487
 Accounts Receivable 3,955,588 -28% Last month 5,512,204	 Accounts Payable 615,119 -53% Last month 1,302,419
 Working Capital 3,340,470 -21% Last month 4,209,785	 Closing Stock 0 0% Last month 0
 Bs Category 53 - SHAKY -20% Last month 66 - STEADY	 Impact Of Decisions 255,735 143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business has shown a fluctuating but overall positive trend in profitability, with a significant peak in October, 2025 where Net Profit reached ₹23.89 lakh. The company's financial position is strong, with Total Equity and Liabilities growing from ₹1.26 crore in April, 2025 to ₹1.15 crore in November, 2025. However, monthly performance has been volatile, with a notable loss of ₹3.60 lakh in September, 2025.

GREEN FLAG BOX — What's Working Well

- Exceptional profitability in October, 2025 with a Net Profit of ₹23.89 lakh and a Net Profit % of 118.71.
- Strong and improving liquidity position, with the Current Ratio reaching 11.78 in November, 2025.
- Consistently high Gross Margin % of 100 across all months, indicating effective control over direct costs.

RED FLAG BOX — What Needs Attention

- High volatility in monthly profits, including a loss of ₹3.60 lakh in September, 2025 and a low profit of ₹97,230 in August, 2025.
- Extended debtor collection periods, with Accounts Receivable Days peaking at 202.77 days in June, 2025.
- Negative cash flows from operating activities in several months, including -₹25.04 lakh in October, 2025.

Strategic Advice:

Prioritise tightening credit control and debtor collection processes to reduce the high Accounts Receivable Days and improve cash flow from operations. Stabilise monthly overheads to prevent the sharp fluctuations in profitability seen between months like September and October.

2. Profit Power — The Earning Engine

The business shows a 100% gross margin each month, with sales ranging from ₹4.40 lakh in June to ₹20.12 lakh in October. Operating profit fluctuated significantly, from a high of ₹10.29 lakh in May to a loss of ₹4.40 lakh in September. The net profit for the period was positive in most months, with a peak of ₹23.89 lakh in October and a low of -₹3.60 lakh in September.

Overheads as a percentage of revenue varied widely, from a low of 1.56% in May to a high of 171.65% in

September. The company's return on equity was strong in several months, reaching 280.12% in October, but was negative at -55.14% in September. The business has no cost of goods sold, and all expenses are captured under employee benefits and administrative costs.

Strategic Advice:

Stabilise monthly profitability by controlling the high volatility in overheads, particularly employee benefit expenses which showed negative figures in some months. Focus on converting the strong return on equity in high-performing months into a more consistent earnings pattern throughout the year.

3. Cash Flow Quality — Profit vs Real Cash

The company's profit after tax for the period was ₹23.89 lakh in October, 2025, but cash flows from operating activity was -₹25.04 lakh in the same month. In November, 2025, profit after tax was ₹2.98 lakh, while operating cash flow improved to ₹8.69 lakh.

A major blockage to cash flow is seen in trade receivables. In October, 2025, trade receivables movement was -₹24.13 lakh, and accounts receivable days were 83.33. In November, 2025, this improved to ₹15.57 lakh, but receivables days increased to 138.81.

The cash balance at the end of November, 2025 was ₹55.25 lakh. The net cash flow for the month was ₹7.98 lakh, driven by positive operating cash flow of ₹8.69 lakh, partially offset by financing outflows of -₹71,044.

Strategic Advice:

Focus on reducing the high accounts receivable days, which peaked at 202.77 in June, 2025, to improve cash conversion from profits. Strengthen collection processes to align operating cash flow more consistently with reported net profit.

4. Cash Management — Daily Cash Rhythm

Your Accounts Receivable Days show significant fluctuation, from 64.35 days in April to a high of 202.77 days in June, before settling at 138.81 days in November. This indicates a highly variable collection period for your sales.

Inventory Days are consistently at 0 days across all months, as there is no closing stock reported. Accounts

Payable Days are also reported as 0 days throughout the period.

Consequently, your Working Capital Days mirror the Accounts Receivable Days exactly, starting at 64.35 days in April, peaking at 202.77 days in June, and ending at 138.81 days in November. The cash conversion cycle is entirely driven by debtor collections.

Strategic Advice:

The extended and volatile collection cycle is your primary cash flow constraint. Implementing stricter credit terms and a proactive collections process is critical to reduce the Working Capital Days and improve cash availability.

5. Growth Investments — Where Money Is Going

The company's investment in Fixed Assets increased from ₹17.24 lakh in April to ₹17.82 lakh by November. Non-current Investments were valued at ₹15.47 lakh in April but showed a negative value of -₹3,431 from May onwards.

The Return on Capital Employed has been volatile, ranging from -98.36% in September to 331.44% in October. Return on Equity also fluctuated significantly, from -55.14% in September to 280.12% in October.

Capital expenditure, reflected in 'Other Capital', was highest in April at ₹33.47 lakh and lowest in October at ₹14.21 lakh. The Asset Turnover ratio was highest in October at 2.86 and lowest in June at 0.96.

Strategic Advice:

The significant volatility in return metrics indicates inconsistent operational performance. Focus on stabilizing core operations to generate predictable returns before committing to large capital expenditures. The negative valuation in non-current investments requires review to understand the underlying asset performance.

6. Funding Story — How Growth Is Being Financed

The company's funding is primarily equity-based. Total Equity was ₹1.22 crore in April, dipped to ₹50.42 lakh in May, and ended at ₹1.05 crore in November. Unsecured Long-term Borrowings remained minimal at ₹77,143 for most months, increasing slightly to ₹1.25 lakh from September onwards.

Total Debt was consistently low, ranging from ₹77,143 to ₹1.25 lakh. Consequently, the Debt to Equity ratio was negligible, between 0.01 and 0.02 throughout the period. The Interest Cover was zero each month, indicating no interest-bearing debt.

Cash flow from Financing Activity shows significant volatility. It was a major inflow of ₹1.06 crore in April, followed by an outflow of ₹53.49 lakh in May. Subsequent months saw mixed flows, including an inflow of ₹28.42 lakh in October and an outflow of ₹71,044 in November.

Strategic Advice:

Your growth is almost entirely self-financed through equity and retained earnings, with negligible debt. This is a very strong, low-risk capital structure. To scale further, consider establishing a formal credit line with a bank. This would provide flexible working capital without diluting ownership, especially to manage the volatile financing cash flows observed.

7. Balance Sheet Health — Financial Fitness

The company's total equity and liabilities stood at ₹1.26 crore in April 2025 and ₹1.15 crore in November 2025. Total equity was ₹1.22 crore in April and ₹1.05 crore in November. The business is financed primarily by equity, with minimal debt of ₹1.25 lakh in recent months.

The current ratio, indicating short-term liquidity, was 23.85 in April 2025 and 11.78 in November 2025. The quick ratio mirrored these values. The debt-to-equity ratio remained very low at 0.01 throughout the period.

Working capital was ₹23.30 lakh in April and ₹33.40 lakh in November. Accounts receivable days were 64.35 in April and increased to 138.81 in November.

Strategic Advice:

The balance sheet is strong with high liquidity and low leverage. Focus on managing the increasing receivables collection period to improve cash conversion efficiency.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the company maintains its peak Net Profit % of 118.71 (as seen in

October) and applies it to the average monthly revenue, annual profit could increase significantly. This would require sustaining high-margin sales and controlling overheads, which were at -15.93% in October.

- **Scenario B - Cash Focus:** Reducing the Accounts Receivable Days from the peak of 202.77 (June) to the low of 64.35 (April) could release substantial working capital. This improvement, combined with the positive cash flow from operations of ₹8.69 lakh seen in November, would strengthen the cash position.
- **Scenario C - Balanced:** A combined strategy of improving the Operating Profit % to the high of 115.93 (October) while reducing Working Capital Days to the low of 64.35 (April) could enhance both profitability and liquidity. This would involve optimizing sales mix and tightening credit terms to customers.

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Monthly sales have shown significant variation. Revenue was ₹12.36 lakh in April, dipped to ₹4.40 lakh in June, and peaked at ₹20.12 lakh in October before settling at ₹8.67 lakh in November.

Working Capital & Receivables: The working capital requirement, measured in days, fluctuated from 64.35 days in April to a high of 202.77 days in June. Accounts receivable days followed a similar pattern, reaching 202.77 days in June and 138.81 days in November.

Inventory & Payables: There is no closing stock recorded for any month in the period. Accounts payable days are reported as 0 for all months.

Cash Flow from Operations: Operational cash flow was negative in several months, including -₹23.30 lakh in April and -₹25.04 lakh in October. Positive operational cash flow was recorded in June (₹15.14 lakh) and November (₹8.69 lakh).

Cost Structure: Gross margin remained at 100% each month as COGS was ₹0. Overheads as a percentage of revenue varied widely, from 1.56% in May to 171.65% in September, which contributed to an operating loss that month.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve debtor collection to reduce Accounts Receivable Days from 138.81 days (Nov). Monitor cash flow from operations closely.	Increase cash balance from ₹55.25 lakh (Nov) and ensure positive operating cash flow.	Strengthen liquidity and reduce reliance on external financing for daily operations.
31-60	Profit	Stabilise monthly profitability after volatile results like ₹23.89 lakh profit in Oct and ₹2.98 lakh in Nov. Review overhead cost structure.	Achieve consistent monthly Net Profit, avoiding losses like the -₹3.60 lakh seen in September.	Build a stable earnings base to improve Reserve & Surplus, which was ₹90.82 lakh in November.
61-90	Growth	Leverage high-return months (e.g., Return on Equity of 280.12% in Oct) to plan for sustainable sales growth. Optimise asset utilisation.	Increase and stabilise Sales from the November level of ₹8.67 lakh, targeting more consistent revenue.	Enhance business scale and improve overall Return on Total Assets for long-term value creation.